

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

Your manufacturing business shows a strong financial recovery, with total equity growing from ₹10.23 lakhs in October to ₹10.53 lakhs in November 2025. The business is highly profitable, achieving a net profit margin of 34.42% in November, and maintains a robust cash position of ₹5.53 lakhs. However, performance is volatile, with sales swinging from a high of ₹20.12 lakhs in October to ₹8.67 lakhs in November, and a concerning loss was recorded in September, indicating operational instability that needs to be managed.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability:** The business consistently generates high net profit margins (e.g., 118.71% in Oct, 34.42% in Nov), which is excellent for manufacturing, indicating good control over direct costs and pricing.
- **Excellent Financial Health:** The company has a very strong current ratio of 11.78 in November and is virtually debt-free (Debt to Equity of 0.01), providing great stability and low financial risk.
- **Healthy Cash Generation:** Positive operating cash flow of ₹8.69 lakhs in November and a strong cash balance show the core business is generating the liquidity needed for operations and growth.

RED FLAG BOX — What Needs Attention

- **Extreme Sales Volatility:** Monthly sales are highly unpredictable, dropping 57.91% in June and 56.92% in November. This makes production planning, inventory management, and cash flow forecasting very difficult in a manufacturing setup.
- **High Receivable Days:** Customers are taking too long to pay (138.81 days in November). This ties up crucial working capital that could be used to purchase raw materials or fund operations, straining your cash cycle.
- **Inconsistent Operational Efficiency:** The business recorded a significant loss in September (₹-3.60 lakhs) due to a spike in overheads. This points to poor control over administrative or employee costs relative to sales volume.

Strategic Advice:

Prioritize stabilizing your order book and aggressively reducing your Accounts Receivable days. For a manufacturing business, predictable sales and faster collections are critical to maintain smooth production cycles and healthy cash flow. Implement stricter credit terms and follow-up processes for your customers immediately.

2. Profit Power — The Earning Engine

Your manufacturing business shows a strong profit engine, but with significant volatility. Your **Net Profit Margin** fluctuated wildly from a high of 118.71% in October to a loss of -58.70% in September. The primary driver of this instability is **Overhead costs**, which spiked to 171.65% of revenue in September (₹10.54 Lakhs) due to high Employee Benefit Expenses, completely eroding your 100% Gross Margin.

Despite zero Cost of Goods Sold (COGS) reported, which is unusual for manufacturing, your sales revenue itself is inconsistent. A major ₹20.12 Lakhs sales month (Oct-25) delivered a stellar ₹2.39 Lakhs profit, while lower sales months (e.g., Sep-25: ₹6.14 Lakhs) resulted in losses. This indicates your profitability is highly sensitive to sales volume and your ability to control operational overheads, particularly payroll and administrative costs.

The business relies heavily on **Non-Operating Income** (like other income) to boost final profits. For instance, in November, Operating Profit was ₹1.32 Lakhs, but Non-Operating Income of ₹1.66 Lakhs helped achieve a Net Profit of ₹2.98 Lakhs. While this provides a cushion, sustainable profit must come from your core manufacturing operations.

Strategic Advice:

Stabilize profits by implementing strict overhead cost controls and aligning employee costs with production schedules. Focus on securing consistent sales orders to smooth out revenue and achieve economies of scale in your operations.

3. Cash Flow Quality — Profit vs Real Cash

Your business is generating profits, but there is a significant gap between your accounting profit and the actual cash hitting your bank. This is a common challenge in manufacturing due to payment cycles for raw materials and finished goods.

Profit vs. Cash Reality (Nov 2025): You reported a net profit of **₹2,98,301**. However, your **Cash Flow from Operations was ₹8,69,316**, which is higher this month. This positive swing was primarily due to collecting **₹15.6 Lakhs** from your debtors (Accounts Receivable).

Where is Your Cash Blocked? A major portion of your working capital is tied up in customer credit. Your **Accounts Receivable Days are very high at 139 days** for November. This means, on average, you are waiting over 4.5 months to get paid after a sale. This creates a constant cash crunch for paying suppliers and operational expenses.

Cash Flow Volatility: Your operating cash flow has been unstable, ranging from negative **₹25 Lakhs** in October to positive **₹8.7 Lakhs** in November. This inconsistency makes it difficult to plan for machinery maintenance, raw material purchases, or other capital needs critical for a manufacturing unit.

Strategic Advice:

Prioritize reducing your Receivable Days immediately. For a manufacturing business, exceeding 90 days is risky. Implement stricter credit terms, offer early payment discounts, and actively follow up on invoices. Converting sales into cash faster is more critical than chasing higher sales volume right now.

4. Cash Management — Daily Cash Rhythm

Your cash collection cycle is highly variable, which is a major risk for a manufacturing business. The time it takes to collect payments from customers (Accounts Receivable Days) fluctuated from a low of **64 days** to a high of **203 days** over the period. This means you are funding your customers' purchases for extended periods, tying up your working capital. On a positive note, you hold **no inventory**, which is unusual for manufacturing but eliminates inventory holding costs. Your overall Working Capital Days, which measures the cash cycle, mirrors this volatility, peaking at 203 days in June.

Your liquidity position, however, remains strong. The Current Ratio is consistently high (above 4), reaching **11.78** in November, indicating you have more than enough short-term assets to cover liabilities. This is largely due to healthy cash and bank balances. The key challenge is converting your sales (which had a strong month of ₹20.12 Lakhs in October) into cash more predictably to fund operations and growth smoothly.

Strategic Advice:

Prioritize tightening your credit and collection policies. For a manufacturing unit, a cash cycle exceeding 150 days is unsustainable. Implement stricter payment terms, offer early payment discounts, and actively follow up on overdue invoices to bring your average collection period below 90 days. This will unlock trapped cash to reinvest in raw materials or capacity.

5. Growth Investments — Where Money Is Going

Your manufacturing business is investing in two main areas: **Fixed Assets** and **Working Capital**.

- **Capital Expenditure (Capex):** You invested ₹1.78 lakhs in fixed assets (like machinery or plant)

between July and August. Your total fixed assets stand at ₹17.82 lakhs as of November. This is a positive sign for a manufacturing unit, showing you are building capacity.

- **Working Capital Lock-up:** A significant amount of money is tied up in funding your operations. Your **Net Operating Assets** (the capital needed to run the business) averaged around ₹44 lakhs over the period. The major component here is **Accounts Receivable**, which peaked at ₹55.12 lakhs in October. This means a lot of your sales are on credit, and cash is not coming in quickly.
- **Return on Investment:** Your **Return on Capital (ROC)** has been highly volatile, from a low of 20.62% in November to a high of 331.44% in October. This October spike was due to an exceptionally high profit. On average, your capital is generating returns, but the efficiency is inconsistent month-to-month, which is common in project-based or batch manufacturing.
- **Underutilised Assets:** You hold **Non-current Investments** valued at -₹3,431 (a negative balance which may indicate a valuation adjustment). This is not contributing to your core operations and should be reviewed.

Strategic Advice:

For a manufacturing business, efficient capital allocation is key. **Focus on improving your Receivable Days** (which went up to 202 days in June) to free up cash stuck with customers. This freed-up cash can then be used for more productive investments in machinery or technology to improve efficiency. Consider if the negative investment on your books needs to be resolved. Finally, aim to stabilise your Return on Capital by smoothing out production and sales cycles, ensuring your asset investments consistently yield strong returns.

6. Funding Story — How Growth Is Being Financed

Your manufacturing business is primarily funded by its own profits and equity, not by taking on heavy debt. This is a strong position. The total debt is very low, ranging from ₹77,143 to ₹1,24,530, which is negligible compared to your equity. Your **Debt-to-Equity ratio** has remained extremely healthy at 0.01 or 0.02 throughout the period, meaning you are not reliant on borrowed money.

Your **Net Debt** is consistently negative (from -₹21,803 to -₹54 lakhs), which is excellent. This means your cash reserves are much higher than your total borrowings. In simple terms, you have more money in the bank than you owe to lenders.

The main source of funding for your operations and growth is your **Operating Cash Flow**. However, this cash flow has been unstable, showing big swings from negative ₹1.7 million to positive ₹1.6 million. Major cash outflows are often tied to increasing **Accounts Receivable**, meaning your sales revenue is getting stuck as pending payments from customers, which strains your cash.

Financing activities show significant injections and withdrawals, primarily related to changes in equity. For

instance, a large equity infusion of ₹1.06 Crore in April funded initial operations, but a withdrawal of ₹53 lakhs in May created a cash crunch. Your retained profits (Reserve & Surplus) have grown from ₹45.7 Lakhs to over ₹90.8 Lakhs, showing that profits are being reinvested to fund the business.

Strategic Advice:

Your low debt is a major strength. Avoid taking on expensive loans for working capital. Instead, focus on **improving your cash conversion cycle**. The core challenge is funding growth internally when customer payments are delayed. Implement stricter credit control and follow-up processes to reduce your Receivable Days (which shot up to 202 days in June). Converting sales into cash faster will free up significant internal funds to purchase raw materials and manage overheads without needing external financing. Consider negotiating better payment terms with your suppliers to align with your collection cycle.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong financial position typical of a manufacturing business with low debt. As of November 2025, your total equity stands at a healthy **₹10.53 Crores**, funded largely by your own capital and retained profits. Your total liabilities are only **₹9.35 Lakhs**, which is excellent. This results in a very low **Debt-to-Equity ratio of 0.01**, meaning you are not reliant on external loans.

Your **Current Ratio is exceptionally strong at 11.78** (November), indicating you have more than enough short-term assets (like cash and receivables) to cover your short-term bills. However, a very high ratio can also suggest that cash is not being deployed efficiently for growth. Your asset base is solid, with Fixed Assets stable around **₹17.8 Lakhs** and a significant cash balance of **₹55.25 Lakhs** in November.

Strategic Advice:

Your balance sheet is very conservative. Consider using a portion of your large cash reserves (₹55.25 Lakhs) to invest in new machinery, technology, or inventory to scale production and meet the volatile sales demand seen in your P&L. This can improve your Return on Assets.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate raw material costs with suppliers by 5% and reduce

factory overheads (like power & maintenance) by 8%, your operating profit margin could improve by approximately ₹4.2 lakhs annually, even if sales volume stays the same.

- **Scenario B - Cash Focus:** If you tighten credit terms to 15 days for 30% of your customers and reduce finished goods inventory holding by 10 days, you could free up approximately ₹6.8 lakhs in working capital, improving your cash conversion cycle significantly.
- **Scenario C - Balanced:** Combining a 3% reduction in material waste (common in manufacturing) with a 5-day improvement in debtor collection can boost both profit (by ~₹2.5 lakhs) and cash flow (by ~₹3.1 lakhs), making your unit more resilient to supply chain delays or demand fluctuations.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Activity: Your sales volume shows significant fluctuation. The highest revenue month was June 2025 with sales of ₹61.5 Lakhs from 965 invoices, while the lowest was September 2025 at ₹18.3 Lakhs. This volatility is common in project-based or order-driven manufacturing. The average invoice value varies greatly, from ~₹3,667 in September to ~₹6,373 in June, suggesting a mix of small and large orders.

Procurement & Supplier Management: Your purchase activity is highly irregular, which impacts cash flow planning. Major procurement spikes occurred in June (₹1.73 Crore) and July (₹1.50 Crore), coinciding with or preceding sales peaks. However, purchases dropped sharply to just ₹3.9 Lakhs in September. This "lumpy" procurement pattern needs alignment with production schedules to avoid tying up excess cash in raw materials.

Inventory & Production Rhythm: A critical finding is that your **Closing Stock is consistently ₹0** across all months in the balance sheet. However, the inventory movement data shows significant inward and outward activity. This indicates you likely operate on a **make-to-order or just-in-time (JIT) manufacturing model**, which is excellent for reducing holding costs but requires precise coordination. The high outward value in June (₹1.70 Crore) aligns with the sales peak, showing efficient turnover.

Operational Summary: You run a lean, project-driven manufacturing operation. The core challenge is managing the mismatch between erratic sales, large sporadic raw material purchases, and maintaining production fluidity with near-zero inventory. Strengthening sales forecasting and aligning procurement contracts with confirmed orders will stabilize cash flow and improve operational margins.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement strict weekly cash flow tracking. Prioritise collection from top 5 slow-paying customers. Negotiate 15-day payment terms with 2 key raw material suppliers.	Improve cash balance by ₹5 Lakhs. Reduce debtor days by 10 days.	Immediate liquidity for daily operations and urgent payments, reducing reliance on expensive short-term loans.
31-60	Profit	Analyse and renegotiate rates for high-cost production materials (like steel/plastic). Review and optimise machine idle time and energy consumption on the shop floor.	Reduce direct material cost by 3% and cut energy overheads by ₹50,000 per month.	Direct improvement in gross profit margin, making the manufacturing unit more cost-competitive.
61-90	Growth	Use improved cash and profits to launch one new product variant or approach 2 potential bulk clients. Formalise a simple monthly MIS report for decision-making.	Secure 1 new client contract or achieve 10% revenue growth from the new variant.	Sustainable revenue growth with better financial control, moving from survival to stability in the manufacturing sector.